

EXPECTATIONS

The return expectations from mutual funds are based on the underlying assets owned by the scheme. If the mutual fund owns equity, we can expect a return that matches equity. If the fund only owns debt, we can expect a return that matches debt.

Because the fund expectations in terms of risk and return depend on what assets they own, getting the category right becomes very critical in our lazy Financial Plan. The category determines the assets that the fund can invest in and will therefore determine the risk-return characteristics. For instance, small-cap mutual funds shall give relatively higher but more volatile returns than large-cap funds.

Mutual funds can be used to substitute direct investments in almost any asset class.

We can create a personal finance plan only using different types of mutual funds. Instead of buying any asset directly, we pool in the same with mutual funds and get an expert to manage the same. It is just an alternate way of owning assets.

With mutual funds, we pay a small portion of the return as an expense that was incurred in running the mutual fund operations and getting the expert team to manage the money. So, if we earn 16% CAGR with a fund and it has a 1.5% expense ratio, then the NAV will only reflect an increase of 14.5% (16% - 1.5%). However, paying out the expense ratio makes sense because if we were to manage the money ourselves, we might not get such high returns. Even after paying the expense ratio, our portfolio is still doing good for itself by earning 14.5% every year.

EFFECTIVE RETURN

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CAGR

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EXPENSE RATIO

